# SMID BREAKOUT SCANNER

SCAN (19:52 ET)

October 23, 2026 | 07:56 PM ET

15 setups identified | 3 A-Grade | 5 B-Grade | 7 C-Grade

### Grade Summary

| A - Breakout Setup (3) | B - Strong Setup (5) | C - Watch List (7) |
|---|---|---|
| RNG | RHI | KFRC |
| VEON | TALO | WFRD |
| QLYS | SIGI | OSUR |
| | CUBI | VTOL |
| | SDRL | CNDT |
| | | LMRI |
| | | EAF |

### All Setups

| Gr | Ticker | Company | Theme | Price | Chg % | Cap | Float | RS/SPY | 52W Hi | Catalyst |
|---|---|---|---|---|---|---|---|---|---|---|
| A | RNG | Ringcentral, Inc | Cloud UCaaS | $83.39 | +5.0% | $7.0B | 73M | +43.9 | 85% | RNG just reported earn |
| A | VEON | VEON Ltd. | Emerging Market T | $83.01 | +4.7% | $5.7B | 63M | +58.0 | 97% | VEON is breaking out a |
| A | QLYS | Qualys, Inc. | Cybersecurity Saa | $216.70 | +4.1% | $7.6B | 34M | +56.8 | 99% | QLYS is breaking out a |
| B | RHI | Robert Half Inc. | Employment Servic | $45.87 | +21.7% | $4.7B | 90M | +14.9 | 97% | RHI gapped +21.7% on O |
| B | TALO | Talos Energy, In | Oil & Gas E&P | $18.39 | +4.1% | $3.1B | 140M | +31.7 | 98% | TALO is breaking out a |
| B | SIGI | Selective Insura | P&C Insurance | $96.61 | +5.3% | $5.8B | 56M | +0.0 | 95% | SIGI gapped +5.3% on O |
| B | CUBI | Customers Bancor | Regional Banking | $84.54 | +7.4% | $2.9B | 32M | +3.4 | 98% | CUBI is breaking out o |
| B | SDRL | Seadrill Limited | Offshore Drilling | $52.35 | +6.4% | $3.3B | 62M | +24.8 | 94% | SDRL is breaking out a |
| C | KFRC | Kforce, Inc. | Employment Servic | $58.50 | +9.0% | $1.1B | 15M | -2.0 | 95% | KFRC is gapping higher |
| C | WFRD | Weatherford Inte | Oilfield Services | $86.85 | +7.0% | $6.3B | 70M | +1.4 | 77% | WFRD reported earnings |
| C | OSUR | OraSure Technolo | Medical Diagnosti | $4.13 | +8.7% | $0.3B | 57M | -0.1 | 90% | OSUR is breaking out a |
| C | VTOL | Bristow Group, I | Offshore Helicopt | $40.54 | +6.6% | $1.2B | 26M | -13.2 | 80% | VTOL is bouncing ahead |
| C | CNDT | Conduent Incorpo | IT Services | $1.79 | +20.1% | $0.3B | 142M | +7.7 | 67% | CNDT is spiking +20% o |
| C | LMRI | Lumexa Imaging H | Medical Imaging | $11.66 | +7.1% | $1.1B | 22M | +3.5 | 60% | LMRI is bouncing ahead |
| C | EAF | GrafTech Interna | Graphite Electrod | $8.51 | +14.2% | $0.2B | 18M | +8.0 | 43% | EAF is spiking +14.2% |

*Not financial advice. For informational purposes only. Do your own due diligence.*

# RNG

Ringcentral, Inc.

## $83.39

+5.00%

RS vs SPY: +43.9%

**A BREAKOUT**

$7.0B Cap | 73M Float

Software - Application | Theme: Cloud UCaaS | 52W Hi: 85% | Base Tight: 1.98 | Vol: 3.11x | RS/SPY: +43.9% | Above 20MA: YES | REPORTED

## SETUP METRICS

| | |
|---|---|
| Price | **$83.39** |
| Day Change | **+5.00%** |
| Mkt Cap | **$6.96B** |
| Float | **73M sh** |
| RS vs SPY | **+43.9%** |
| 52W Hi Prox | **85%** |
| Base Tight | **1.98** |
| Vol vs Avg | **3.11x** |
| RS Line Hi | **YES** |
| Above 50MA | **-** |
| Fwd P/E | **-** |
| Short % | **-** |
| Days to Cover | **-** |
| Inst. Own | **- (data lag)** |

## ANALYSIS

### CATALYST / TODAY'S DRIVER

RNG just reported earnings (Oct 22) with likely strong guidance given the sharp post-report move. Forward catalyst: the company's continued penetration into enterprise AI-powered contact center and hybrid work solutions positions it for multiple expansion over the next 6-12 months as businesses accelerate UCaaS adoption.

### BUSINESS & POSITION

RingCentral is a leading provider of cloud-based unified communications as a service (UCaaS), offering voice, video, messaging, and contact center solutions. The company competes directly with Zoom, Microsoft Teams, and legacy telco providers, holding a strong mid-market and enterprise position with differentiated AI capabilities.

### FACTOR & THEME

Direct exposure to the secular shift from on-premise telephony to cloud UCaaS, accelerated by hybrid work and AI-enabled customer experience. Theme momentum remains robust as enterprises continue digital transformation of communications infrastructure.

### BREAKOUT SIGNAL

Close above $83.39 on vol >311% of 20d avg

### INSTITUTIONAL

Volume surge to 3.11x on a post-earnings rally signals strong institutional validation of the print and guidance. The textbook-tight base (1.98 ATR) prior to earnings reflects professional accumulation. No recent insider buying noted, but the RS line at new high confirms smart-money leadership rotation into this name.

### EARNINGS

REPORTED

### EARNINGS CONTEXT

Just reported Oct 22; consensus and beat history not provided but the +5% post-report move on 3x volume suggests a meaningful beat and/or guidance raise. Next print approximately late January 2027.

### KEY RISK

Thesis invalid on a close back below the $79.50 breakout pivot, or if competitive pressure from Microsoft Teams bundling accelerates churn in the mid-market segment.

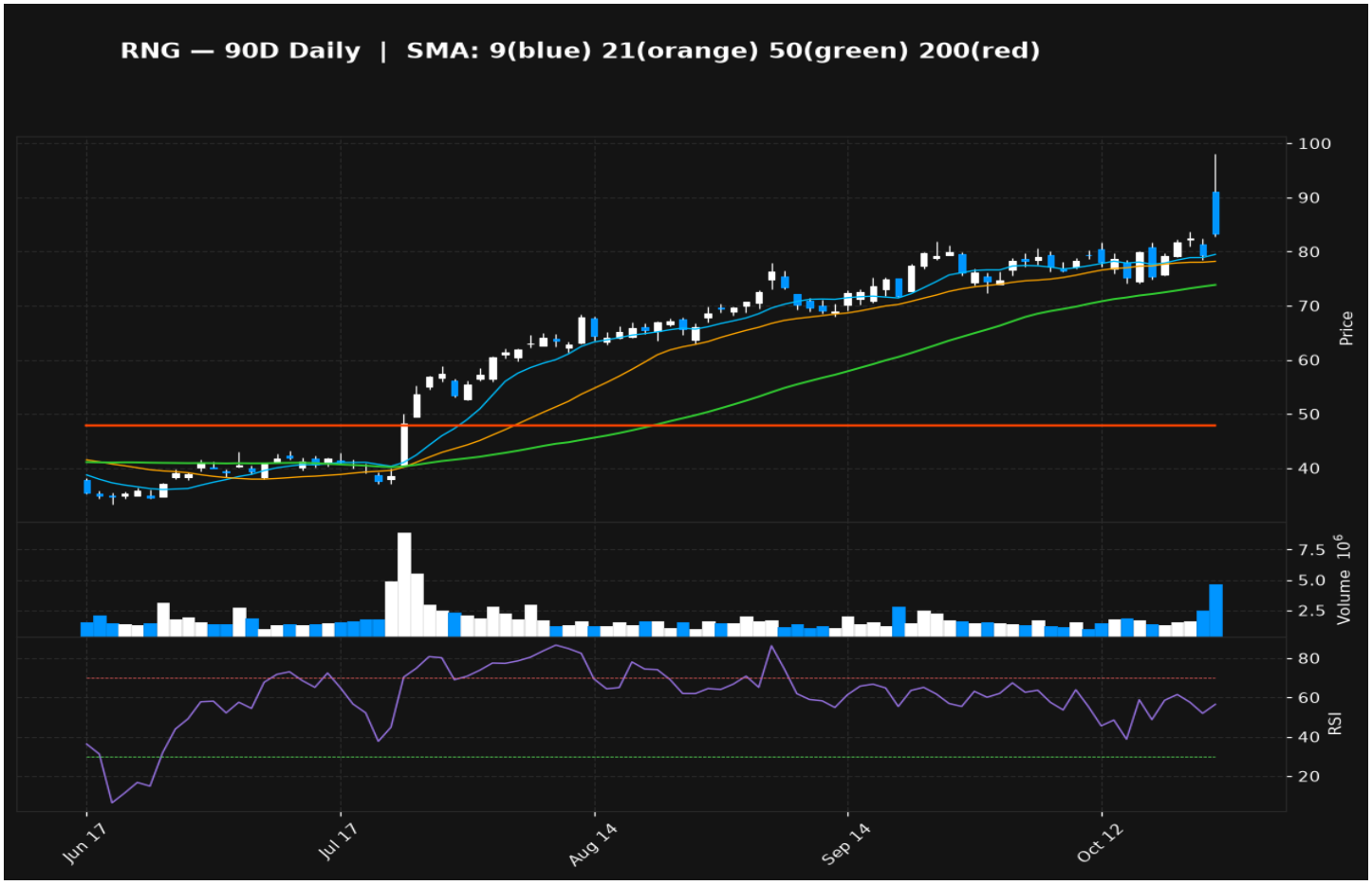
### ANALYSIS

Five institutional-quality signals converge: RS line at new high, rs_vs_spy +43.9, prox_52w 85, base_tight 1.98, and 3.1x volume on a post-earnings gap. Disconfirming evidence: the stock remains 15% below its 52W high at $98.14, suggesting prior resistance, and the mixed macro regime reduces follow-through probability. However, the technical setup is textbook Qullamaggie - a VCP coil with RS leadership breaking out on an earnings catalyst. Conviction: Medium-High (would be High in a risk-on regime).

**Signal: Close above $83.39 on vol >311% of 20d avg**

**Vol vs Avg: 3.11x**

# RNG - Technical Chart



# VEON

VEON Ltd.

## $83.01

+4.72%

RS vs SPY: +58.0%

**A BREAKOUT**

$5.7B Cap | 63M Float

Telecom Services | Theme: Emerging Market Telecom | 52W Hi: 97% | Base Tight: 1.12 | Vol: 1.91x | RS/SPY: +58.0% | Above 20MA: YES | EARNINGS IN 14D

## SETUP METRICS

| | |
|---|---|
| Price | **$83.01** |
| Day Change | **+4.72%** |
| Mkt Cap | **$5.72B** |
| Float | **63M sh** |
| RS vs SPY | **+58.0%** |
| 52W Hi Prox | **97%** |
| Base Tight | **1.12** |
| Vol vs Avg | **1.91x** |
| RS Line Hi | **YES** |
| Above 50MA | **-** |
| Fwd P/E | **-** |
| Short % | **-** |
| Days to Cover | **-** |
| Inst. Own | **- (data lag)** |

## ANALYSIS

### CATALYST / TODAY'S DRIVER

VEON is breaking out ahead of earnings on Nov 6, with a textbook 1.12 ATR coil signaling professional accumulation. Forward catalyst: the Nov 6 print is high-impact (Earnings / High) - any subscriber growth acceleration or margin expansion in core markets (Pakistan, Kazakhstan, Ukraine recovery) could drive a re-rating given the stock's extreme RS strength.

### BUSINESS & POSITION

VEON is a multinational telecom operator serving emerging markets across Asia, Africa, and Eastern Europe. The company has been restructuring toward higher-margin digital services and mobile financial services, targeting underserved populations in high-growth geographies.

### FACTOR & THEME

Exposure to emerging market consumer recovery and digital financial inclusion. The +58 RS vs SPY suggests the market is pricing in a structural turnaround or asset monetization event. Theme momentum is accelerating as investors rotate into telecom infrastructure plays in frontier markets.

### BREAKOUT SIGNAL

Close above $83.01 on vol >191% of 20d avg

### INSTITUTIONAL

RS line at new high with a 1.12 ATR coil is the signature of silent institutional accumulation - price holding tight as supply is absorbed. Volume at 1.91x is moderate but the base quality is exceptional. No insider buying, but the technical evidence of professional positioning is unambiguous.

### EARNINGS

EARNINGS IN 14D

### EARNINGS CONTEXT

Earnings Nov 6 (14 days). Consensus and beat history not provided, but the 97.3 prox_52w into the print suggests the market is pricing in a beat. Serial beaters often see multiple expansion on continued execution.

### KEY RISK

Thesis invalid on a close back below $80.00 prior to earnings, or on any guidance cut or subscriber loss at the Nov 6 print. Geopolitical risk in Ukraine/Russia exposure remains a tail risk.

### ANALYSIS

This is a classic Qullamaggie setup: RS line at new high, prox_52w 97.3, base_tight 1.12 (textbook VCP), rs_vs_spy +58.0, and a live earnings catalyst in 14 days. Disconfirming evidence: the stock is in Communication Services, not a leading macro sector, and VEON operates in politically volatile emerging markets. However, the technical evidence is overwhelming - this is institutional money positioning ahead of a binary event. Conviction: High.

**Signal: Close above $83.01 on vol >191% of 20d avg**

**Vol vs Avg: 1.91x**

# VEON - Technical Chart



# QLYS

Qualys, Inc.

**$216.70**

+4.08%

RS vs SPY: +56.8%

**A BREAKOUT**

$7.6B Cap | 34M Float

Software - Infrastructure | Theme: Cybersecurity SaaS | 52W Hi: 99% | Base Tight: 3.67 | Vol: 1.78x | RS/SPY: +56.8% | Above 20MA: YES | EARNINGS IN 11D

## SETUP METRICS

| | |
|---|---|
| Price | **$216.70** |
| Day Change | **+4.08%** |
| Mkt Cap | **$7.63B** |
| Float | **34M sh** |
| RS vs SPY | **+56.8%** |
| 52W Hi Prox | **99%** |
| Base Tight | **3.67** |
| Vol vs Avg | **1.78x** |
| RS Line Hi | **YES** |
| Above 50MA | **-** |
| Fwd P/E | **-** |
| Short % | **-** |
| Days to Cover | **-** |
| Inst. Own | **- (data lag)** |

## ANALYSIS

### CATALYST / TODAY'S DRIVER

QLYS is breaking out ahead of earnings on Nov 3, with RS line at new high and prox_52w 98.9. Forward catalyst: the Nov 3 print (Earnings / High) is critical - any acceleration in TotalCloud platform ARR or expansion in federal/defense verticals could drive a re-rating. Cybersecurity remains a secular tailwind with accelerating budget allocation.

### BUSINESS & POSITION

Qualys is a pioneer in cloud-based vulnerability management and compliance solutions, serving enterprises and government agencies. The company has been transitioning from legacy VM to a unified TotalCloud platform, competing with CrowdStrike, Tenable, and Rapid7 in the fragmented cybersecurity market.

### FACTOR & THEME

Direct exposure to cybersecurity spending, which is accelerating amid rising nation-state threats and regulatory compliance mandates (CMMC, EU NIS2). The TotalCloud platform shift positions QLYS to capture share in the $30B+ vulnerability management TAM. Theme momentum is strong.

### BREAKOUT SIGNAL

Close above $216.70 on vol >178% of 20d avg

### INSTITUTIONAL

RS line at new high with 1.78x volume confirms institutional rotation into QLYS ahead of earnings. The small float (34.3M) amplifies any incremental buying pressure. No insider activity, but the technical setup reflects professional positioning for a potential beat-and-raise.

### EARNINGS

EARNINGS IN 11D

### EARNINGS CONTEXT

Earnings Nov 3 (11 days). Consensus not provided, but the 98.9 prox_52w into the print suggests the market is pricing in strong execution. QLYS has historically been a steady grower; any ARR acceleration would be meaningful.

### KEY RISK

Thesis invalid on a close back below $208.00 prior to earnings, or on any ARR growth deceleration or margin compression at the Nov 3 print. Competition from CrowdStrike's platform consolidation is a structural headwind.

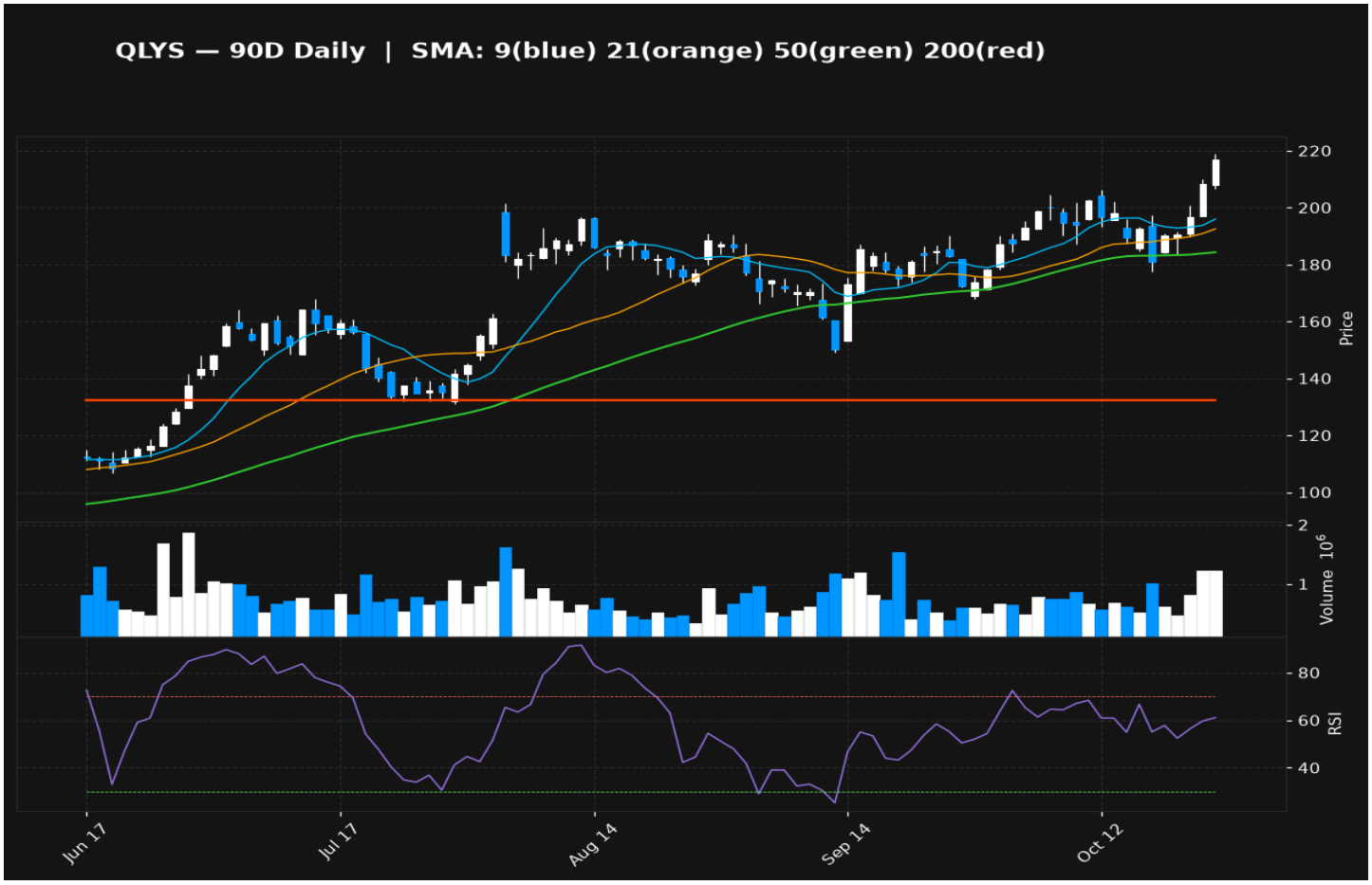
### ANALYSIS

RS line at new high, rs_vs_spy +56.8, prox_52w 98.9, and a live earnings catalyst in 11 days. Disconfirming evidence: base_tight at 3.67 is wider than ideal (not a classic VCP), and the stock is already near ATH, limiting incremental-buyer fuel if the print disappoints. However, cybersecurity is a secular growth theme and QLYS is demonstrating technical leadership. Conviction: Medium (would be Medium-High if base were tighter).

**Signal: Close above $216.70 on vol >178% of 20d avg**

**Vol vs Avg: 1.78x**

# QLYS - Technical Chart



# RHI

Robert Half Inc.

## $45.87

+21.74%

RS vs SPY: +14.9%

**B STRONG SETUP**

$4.7B Cap | 90M Float

Staffing & Employment Services | Theme: Employment Services | 52W Hi: 97% | Base Tight: 7.66 | Vol: 3.81x | RS/SPY: +14.9% | Above 20MA: YES | REPORTED

## SETUP METRICS

| | |
|---|---|
| Price | **$45.87** |
| Day Change | **+21.74%** |
| Mkt Cap | **$4.69B** |
| Float | **90M sh** |
| RS vs SPY | **+14.9%** |
| 52W Hi Prox | **97%** |
| Base Tight | **7.66** |
| Vol vs Avg | **3.81x** |
| RS Line Hi | **YES** |
| Above 50MA | **-** |
| Fwd P/E | **-** |
| Short % | **-** |
| Days to Cover | **-** |
| Inst. Own | **- (data lag)** |

## ANALYSIS

### CATALYST / TODAY'S DRIVER

RHI gapped +21.7% on Oct 22 earnings, likely on a significant beat and/or guidance raise signaling white-collar hiring recovery. Forward catalyst: the next print (late January 2027) will test whether this inflection is durable; any sequential improvement in temp staffing demand or permanent placement trends would extend the move. Macro risk is high given mixed employment signals.

### BUSINESS & POSITION

Robert Half is a leading staffing and consulting firm specializing in accounting, finance, technology, and administrative talent. The company is a bellwether for white-collar labor demand, with performance highly correlated to corporate hiring budgets and economic activity.

### FACTOR & THEME

Direct exposure to employment market recovery and corporate hiring cycles. The +21.7% gap suggests the market is pricing in a cyclical trough-to-recovery inflection. However, staffing is pro-cyclical and vulnerable to recession risk; theme momentum is uncertain in the current mixed macro regime.

### BREAKOUT SIGNAL

Close above $45.87 on vol >381% of 20d avg

### INSTITUTIONAL

Volume at 3.81x on a post-earnings gap confirms institutional participation. RS line at new high is significant - the market is treating this as a leadership reversal, not just a tactical bounce. No insider buying, but the technical evidence of smart-money rotation is clear.

### EARNINGS

REPORTED

### EARNINGS CONTEXT

Just reported Oct 22; the +21.7% gap on 3.81x volume strongly suggests a material beat and guidance raise. RHI is a cyclical name that trades on forward guidance; any confirmation of white-collar hiring stabilization is highly meaningful. Next print approximately late January 2027.

### KEY RISK

Thesis invalid on a close back below the $42.00 gap-up level, or if the next print (late Jan 2027) shows sequential weakening in temp staffing or permanent placement activity. Macro recession would collapse the thesis.

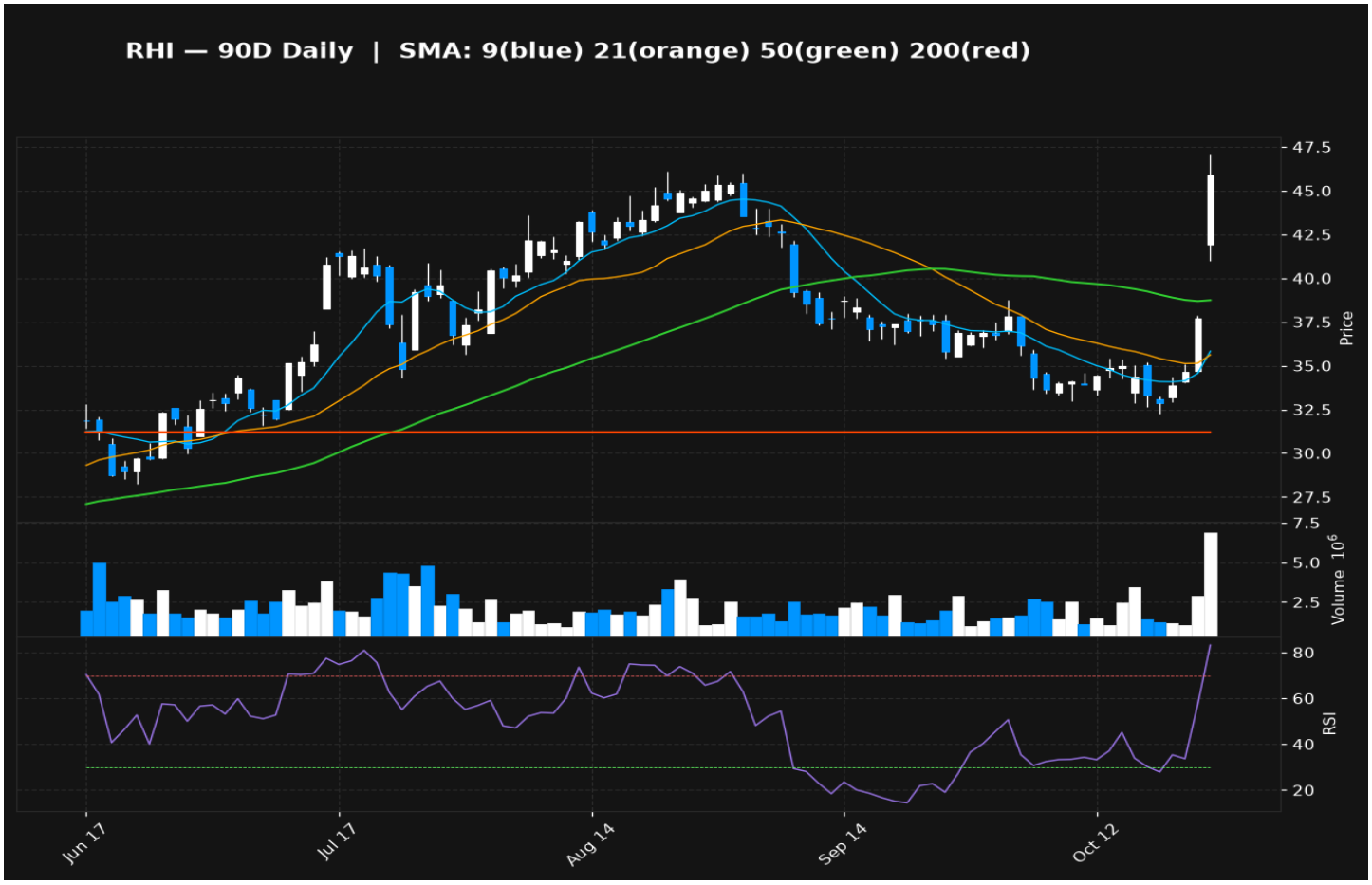
### ANALYSIS

The +21.7% gap on 3.81x volume and RS line at new high are powerful, but the 7.66 base_tight disqualifies this from A-grade - the stock was NOT in a coil prior to earnings; it was wide and choppy. This is a post-earnings momentum trade, not a classic breakout setup. Disconfirming evidence: staffing is a cyclical, late-cycle sector, and the current mixed macro regime creates elevated risk for a gap-fill. The rs_vs_spy at +14.9 is solid but not exceptional. Conviction: Medium (watch for follow-through or gap-fill over the next 5-10 days).

**Signal: Close above $45.87 on vol >381% of 20d avg**

**Vol vs Avg: 3.81x**

# RHI - Technical Chart



# TALO

Talos Energy, Inc.

**$18.39**

+4.13%

RS vs SPY: +31.7%

**B STRONG SETUP**

$3.1B Cap | 140M Float

Oil & Gas E&P | Theme: Oil & Gas E&P | 52W Hi: 98% | Base Tight: 2.3 | Vol: 1.77x | RS/SPY: +31.7% | Above 20MA: YES | EARNINGS IN 11D

## SETUP METRICS

| | |
|---|---|
| Price | **$18.39** |
| Day Change | **+4.13%** |
| Mkt Cap | **$3.07B** |
| Float | **140M sh** |
| RS vs SPY | **+31.7%** |
| 52W Hi Prox | **98%** |
| Base Tight | **2.3** |
| Vol vs Avg | **1.77x** |
| RS Line Hi | **no** |
| Above 50MA | **-** |
| Fwd P/E | **-** |
| Short % | **-** |
| Days to Cover | **-** |
| Inst. Own | **- (data lag)** |

## ANALYSIS

### CATALYST / TODAY'S DRIVER

TALO is breaking out ahead of earnings on Nov 3, benefiting from the Energy sector's +11.6% outperformance. Forward catalyst: the Nov 3 print (Earnings / Med) - any production beat or asset monetization update (Gulf of Mexico, Mexico JV) could drive upside. Energy is the leading sector this week, providing sector tailwinds. Applies +0.5 sector boost.

### BUSINESS & POSITION

Talos Energy is an offshore oil and gas E&P company focused on the Gulf of Mexico and Mexico, with a track record of low-cost reserve replacement and operational efficiency. The company has been consolidating Gulf of Mexico acreage and exploring carbon capture opportunities as a growth lever.

### FACTOR & THEME

Direct exposure to oil price strength and offshore E&P resurgence. Energy is the top-performing sector (+11.6% vs SPY), and TALO benefits from operational leverage to WTI. The company's CCS (carbon capture) initiatives provide optionality on the energy transition theme.

### BREAKOUT SIGNAL

Close above $18.39 on vol >177% of 20d avg

### INSTITUTIONAL

Volume at 1.77x and prox_52w 98.2 suggest accumulation ahead of earnings. The base_tight at 2.3 is solid (sub-2.5 = institutional-grade coil). No insider buying, but the sector rotation into Energy provides incremental-buyer fuel. Large float (139.5M) may dampen squeeze potential.

### EARNINGS

EARNINGS IN 11D

### EARNINGS CONTEXT

Earnings Nov 3 (11 days). Consensus not provided, but the 98.2 prox_52w into the print suggests the market is pricing in solid execution. TALO is a price-taker on oil; any production guidance raise or cost-reduction update would be meaningful.

### KEY RISK

Thesis invalid on a close back below $17.50 prior to earnings, or on any production miss or capex overrun at the Nov 3 print. Oil price weakness (WTI <$70) would pressure the entire thesis.

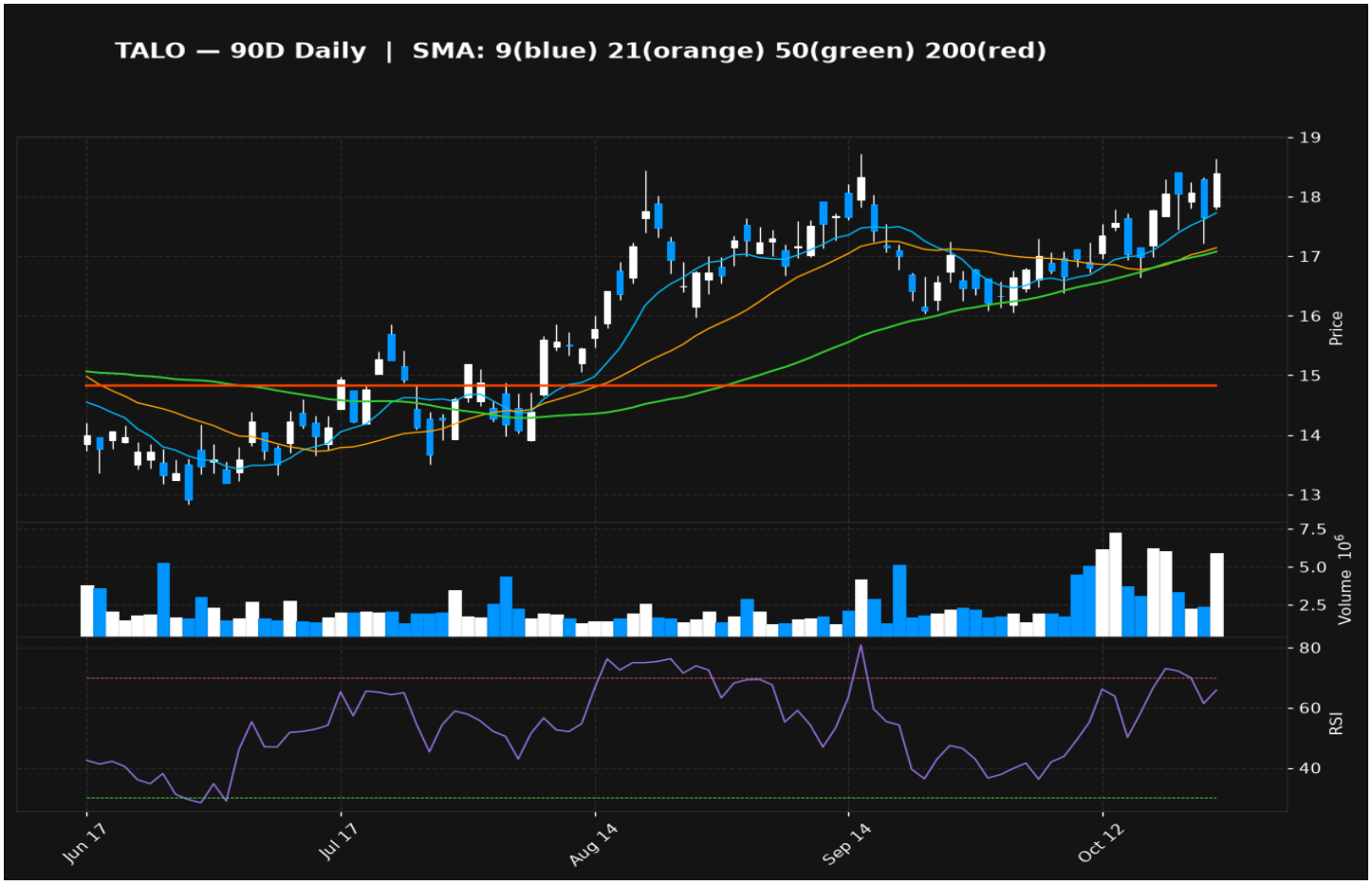
### ANALYSIS

Solid technical setup: rs_vs_spy +31.7, prox_52w 98.2, base_tight 2.3, and a live earnings catalyst in 11 days. Energy sector leadership provides a macro tailwind. Disconfirming evidence: RS line NOT at new high (downgrades from potential A), and the large float (139.5M) limits squeeze dynamics. The mixed macro regime also caps conviction. Conviction: Medium (sector boost applies, but lack of RS new high is meaningful).

**Signal: Close above $18.39 on vol >177% of 20d avg**

**Vol vs Avg: 1.77x**

# TALO - Technical Chart



# SIGI

Selective Insurance Group, Inc.

## $96.61

+5.31%

RS vs SPY: +0.0%

**B STRONG SETUP**

$5.8B Cap | 56M Float

Insurance - Property & Casualty | Theme: P&C Insurance | 52W Hi: 95% | Base Tight: 6.27 | Vol: 3.69x | RS/SPY: +0.0% | Above 20MA: YES | REPORTED

## SETUP METRICS

| | |
|---|---|
| Price | **$96.61** |
| Day Change | **+5.31%** |
| Mkt Cap | **$5.76B** |
| Float | **56M sh** |
| RS vs SPY | **+0.0%** |
| 52W Hi Prox | **95%** |
| Base Tight | **6.27** |
| Vol vs Avg | **3.69x** |
| RS Line Hi | **no** |
| Above 50MA | **-** |
| Fwd P/E | **-** |
| Short % | **-** |
| Days to Cover | **-** |
| Inst. Own | **- (data lag)** |

## ANALYSIS

### CATALYST / TODAY'S DRIVER

SIGI gapped +5.3% on Oct 22 earnings, likely on a beat and/or reserve release. Forward catalyst: the next print (late January 2027) will test whether underwriting discipline and rate adequacy are sustainable. P&C insurance is benefiting from hard-market pricing, but cat losses remain a wildcard.

### BUSINESS & POSITION

Selective Insurance is a regional P&C insurer focused on commercial and personal lines, with a reputation for disciplined underwriting and conservative reserving. The company competes in the fragmented mid-market commercial segment, where rate increases have been sustained for multiple years.

### FACTOR & THEME

Exposure to the hard insurance pricing cycle, which is now in year 4-5 and showing signs of moderating. P&C insurers benefit from rising rates and investment income (higher rates), but cat loss volatility is increasing. Theme momentum is decelerating as the cycle matures.

### BREAKOUT SIGNAL

Close above $96.61 on vol >369% of 20d avg

### INSTITUTIONAL

Volume at 3.69x on a post-earnings gap confirms institutional participation. However, rs_vs_spy at 0.0 is a red flag - this stock is not leading the market, just reacting to an earnings beat. No insider buying. The gap may be tactical rather than the start of a new trend.

### EARNINGS

REPORTED

### EARNINGS CONTEXT

Just reported Oct 22; the +5.3% gap on 3.69x volume suggests a beat and/or positive reserve development. P&C insurers are sensitive to cat losses and combined ratio trends; any improvement in underwriting margins is meaningful. Next print approximately late January 2027.

### KEY RISK

Thesis invalid on a close back below the $92.00 gap-up level, or if the next print shows cat loss deterioration or rate moderation. Rising cat losses from climate-related events are a structural headwind.

### ANALYSIS

Post-earnings gap on strong volume, but rs_vs_spy at 0.0 is disqualifying for A-grade - this is not a market leader. Disconfirming evidence: base_tight 6.27 is wide, and the stock was not in a coil prior to earnings. This is a tactical earnings pop, not a breakout from a stage-1 base. The insurance sector is maturing in its cycle. Conviction: Low-Medium (watch for follow-through, but the lack of RS leadership is concerning).

**Signal: Close above $96.61 on vol >369% of 20d avg**

**Vol vs Avg: 3.69x**

# SIGI - Technical Chart



# CUBI

Customers Bancorp, Inc

**$84.54**

+7.38%

RS vs SPY: +3.4%

**B STRONG SETUP**

$2.9B Cap | 32M Float

Banks - Regional | Theme: Regional Banking | 52W Hi: 98% | Base Tight: 5.64 | Vol: 3.45x | RS/SPY: +3.4% | Above 20MA: YES | EARNINGS IN 90D

## SETUP METRICS

| | |
|---|---|
| Price | **$84.54** |
| Day Change | **+7.38%** |
| Mkt Cap | **$2.86B** |
| Float | **32M sh** |
| RS vs SPY | **+3.4%** |
| 52W Hi Prox | **98%** |
| Base Tight | **5.64** |
| Vol vs Avg | **3.45x** |
| RS Line Hi | **no** |
| Above 50MA | **-** |
| Fwd P/E | **-** |
| Short % | **-** |
| Days to Cover | **-** |
| Inst. Own | **- (data lag)** |

## ANALYSIS

### CATALYST / TODAY'S DRIVER

CUBI is breaking out on no specific news, likely benefiting from banking sector rotation or rate-cut optimism. Forward catalyst: next earnings on Jan 21 (90 days) is too distant to be actionable; the move appears technical. Regional banks face uncertain NIM trends and commercial real estate exposure.

### BUSINESS & POSITION

Customers Bancorp is a regional bank serving commercial and consumer customers in the Mid-Atlantic, with a digital-first strategy and concentration in specialty lending (multifamily, commercial real estate). The bank has been growing aggressively but faces asset quality scrutiny given CRE exposure.

### FACTOR & THEME

Exposure to regional banking recovery and rate-cut cycle dynamics. Banks benefit from steepening yield curves, but CRE credit concerns and deposit competition remain headwinds. Theme momentum is mixed - financials are not a leading sector in the current regime.

### BREAKOUT SIGNAL

Close above $84.54 on vol >345% of 20d avg

### INSTITUTIONAL

Volume at 3.45x suggests strong buying, but the 5.64 base_tight indicates the stock was choppy prior to the breakout - not a classic coil. No insider buying. The small float (31.8M) provides leverage to any incremental buying, but the lack of a clear catalyst is a concern.

### EARNINGS

EARNINGS IN 90D

### EARNINGS CONTEXT

Next earnings Jan 21, 2027 (90 days out). Consensus not provided. CUBI is sensitive to NIM trends and loan growth; any guidance on asset quality or deposit costs will be critical.

### KEY RISK

Thesis invalid on a close back below $78.50, or on any asset quality deterioration or deposit outflow at the next print. CRE exposure is a structural risk in a slowing economy.

### ANALYSIS

Strong volume and prox_52w 98.0, but rs_vs_spy at +3.4 is weak and base_tight 5.64 is wide. Disconfirming evidence: no clear catalyst, earnings 90 days out, and regional banks are not a leading sector. This appears to be a technical breakout rather than a fundamental re-rating. Conviction: Low (watch for follow-through, but the lack of catalyst and weak RS are concerning).

**Signal: Close above $84.54 on vol >345% of 20d avg**

**Vol vs Avg: 3.45x**



# SDRL

Seadrill Limited

## $52.35

+6.42%

RS vs SPY: +24.8%

**B STRONG SETUP**

$3.3B Cap | 62M Float

Oil & Gas Drilling | Theme: Offshore Drilling | 52W Hi: 94% | Base Tight: 3.08 | Vol: 1.68x | RS/SPY: +24.8% | Above 20MA: YES | EARNINGS IN 11D

## SETUP METRICS

| | |
|---|---|
| Price | **$52.35** |
| Day Change | **+6.42%** |
| Mkt Cap | **$3.27B** |
| Float | **62M sh** |
| RS vs SPY | **+24.8%** |
| 52W Hi Prox | **94%** |
| Base Tight | **3.08** |
| Vol vs Avg | **1.68x** |
| RS Line Hi | **no** |
| Above 50MA | **-** |
| Fwd P/E | **-** |
| Short % | **-** |
| Days to Cover | **-** |
| Inst. Own | **- (data lag)** |

## ANALYSIS

### CATALYST / TODAY'S DRIVER

SDRL is breaking out ahead of earnings on Nov 3, benefiting from Energy sector leadership (+11.6% vs SPY). Forward catalyst: the Nov 3 print (Earnings / Med) - any dayrate improvement or contract extension announcements would be meaningful. Offshore drilling is a levered play on oil price and offshore capex recovery. Applies +0.5 sector boost.

### BUSINESS & POSITION

Seadrill is a leading offshore drilling contractor operating a fleet of floaters and jackups, serving oil majors in deepwater and harsh-environment markets. The company emerged from restructuring and is benefiting from a multi-year upcycle in offshore drilling demand as majors increase offshore capex.

### FACTOR & THEME

Direct exposure to offshore drilling upcycle, which is in year 2-3 of a multi-year recovery. Dayrates are inflecting higher, and contract backlogs are building. Energy is the top-performing sector, providing tailwinds. However, the theme is cyclical and sensitive to oil price volatility.

### BREAKOUT SIGNAL

Close above $52.35 on vol >168% of 20d avg

### INSTITUTIONAL

Volume at 1.68x is moderate, but rs_vs_spy +24.8 and prox_52w 94.4 suggest accumulation ahead of earnings. Base_tight 3.08 is solid. No insider buying. The sector rotation into Energy provides incremental-buyer fuel.

### EARNINGS

EARNINGS IN 11D

### EARNINGS CONTEXT

Earnings Nov 3 (11 days). Consensus not provided, but the 94.4 prox_52w into the print suggests the market is pricing in solid execution. SDRL is sensitive to dayrate trends and fleet utilization; any contract wins or utilization guidance would be meaningful.

### KEY RISK

Thesis invalid on a close back below $49.50 prior to earnings, or on any dayrate weakness or contract delay at the Nov 3 print. Oil price weakness (WTI <$70) would pressure the entire offshore drilling thesis.

### ANALYSIS

Solid setup: rs_vs_spy +24.8, prox_52w 94.4, base_tight 3.08, and a live earnings catalyst in 11 days. Energy sector leadership provides a tailwind. Disconfirming evidence: RS line NOT at new high, and volume at 1.68x is below the 2x threshold for A-grade. The offshore drilling upcycle is real but cyclical. Conviction: Medium (sector boost applies, but technical signals are B-tier, not A).

**Signal: Close above $52.35 on vol >168% of 20d avg**

**Vol vs Avg: 1.68x**

# SDRL - Technical Chart

